account and invest your contributions accordingly. Investing over time will allow your money to compound and gain returns in the form of growth and dividends, which means your money is at work and growing; you just need to give it time.

INVESTING DURING RETIREMENT

While we frequently talk about retiring by a certain age, it's important to keep in mind that retirement is not a specific date or moment in time; it's a period of time that can last for decades. That means when you retire, you won't be withdrawing all your money at once, so your money still has more time to keep growing. You should also be spending less in retirement than you did while working. Ideally, any expenses related to your kids are gone or greatly reduced (e.g. child-rearing and educational expenses), and your mortgage might be paid off. So, your taxable withdrawals and in turn your taxable rate should be lower.

Withdrawal rate. Speaking of withdrawals, one way to plan how much to take out from your investments in retirement is by determining your withdrawal rate. Your withdrawal rate is the percentage of your portfolio that can be withdrawn per year, to ensure that you don't run short of money during your retirement years. A simple formula that is commonly discussed to help figure out your withdrawal rate is the 4% rule. According to Investopedia,[3] this rule seeks to provide a steady income stream to a retiree while also maintaining an account balance that keeps income flowing through retirement. The 4% withdrawal rate is considered to be a sweet spot, as the withdrawals will consist primarily of interest and dividends. For example, if you know you can comfortably live on $40,000 a year in retirement, then your goal would be to save $1 million for retirement so that as you withdraw 4% on an annual basis, your account balance will remain relatively steady as your investments continue to make money and you'll have enough to last your entire retirement.

In retirement, you also still want to ensure that you have an investment strategy in place that transitions to making your investments more conservative as you age. This will help you hedge against major losses in a market decline and keep your mind at peace about your finances while you enjoy your retirement.